

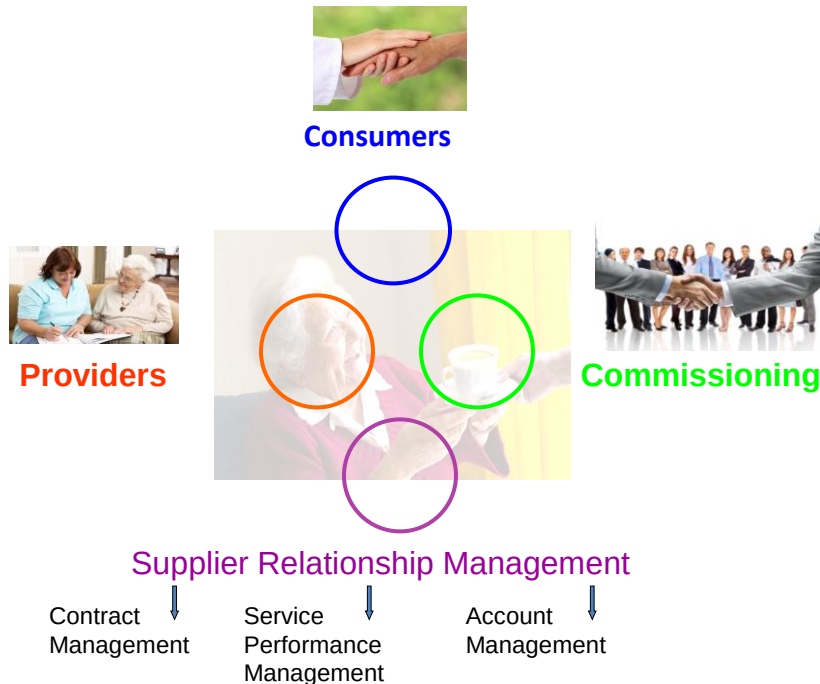
Chapter 4

# Contract Management (Part I)

***“A pessimist sees the difficulty in every opportunity.***

***An optimist sees the opportunity in every difficulty”***

**Which do you choose to be?**



## What is Contract Management

- The process of managing the relationship between two parties, a buyer and seller with the aim of attaining the procurement objectives.
- It involves managing of the cost details, process , quality and time lines from the beginning to the end of the contract delivery.

## **Aim of contract management**

- To obtain the goods and services as agreed in the contract
- Achieve value for money
- Ensure that the buyer performs according to terms of the contract.
- Building a good working relationship between customer and provider.

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## **What does contract Management Involves?**

- Clarification of the roles and responsibilities of stakeholders
- Ensuring mutual understanding of the rights, obligation and responsibilities
- Addressing the risks that may arise
- Handling any appropriate changes where necessary (variations)
- Supervising or monitoring the contract against key performance indicators (e.g. procedures, cost control, quality and timeliness )
- Measuring and authorizing works
- Delivery inspection
- Paying according to agreed terms and avoiding overpayment.
- Compiling and disseminating of reports on performance

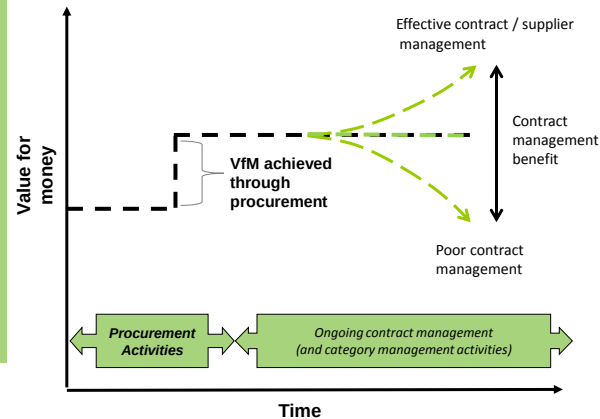
# Why is contract management important?

## Benefits of contract management:

The effective management of contracts with suppliers is maximising benefits from procurement:

- Obtaining value for money
- Managing risk
- Maximising end user outcomes

## Role of contract management in retaining and improving value for money



THIS  
IS  
**NOT**  
**ROCKET**  
**SCIENCE**  
PEOPLE!



*keep it simple*

**FOCUS ON OUTCOMES AND NOT THE PROCESS**



# Quality Assurance of Contract Management

## 1. Improve capability

Develop and implement a contract management capability framework

- ☑ On-line procurement induction program to include contract management module
- ☑ Contract management training



## 2. Value / risk approach

Apply a value/risk matrix to define expectations for contract management and appropriate resource allocation to contracts

- ☑ Value/risk matrix
- ☑ Contract management plan and Contract management checklist templates



## 3. Contract extensions and renewals

Validate value for money before extending/renewing a contract, through assessment of contract risk, demand, supply market and supplier performance

- ☑ Checklist for contract extensions/renewals
- ☑ Fact Sheet
- ☑ Contract Review Report template



## 4. Contract management lifecycle system

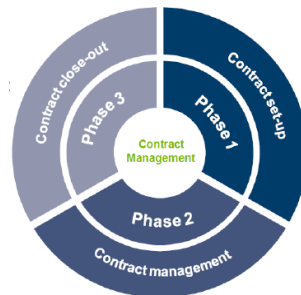
Implement a contract management lifecycle system to enable spend analysis, monitoring of supplier performance, early triggers to prepare for contract expiry

# Contract Management Framework

Background to its development and purpose:

- Consistency
- Ensure contractual obligations are met, risks are managed, value obtained
- Describes the three major phases of the contract management lifecycle and key activities:

Phase 1 – Contract set up  
Phase 2 – Contract management  
Phase 3 – Contract close out



Supporting materials:

- Tools and templates, Fact sheets, Procurement guidance

# Effective contract management begins with good planning

Contract management requires involvement during the Procurement process and not simply after the contract has been awarded.



Effective contract management starts at the sourcing process through to the relationship management of the supplier to ensure the optimum efficiency and increased service levels so as to avoid having to utilise contractual terms to achieve the performance expectations.

It's a process that requires teamwork and partnership skills through regular reviews and engagement.

## Benefits of effective contract Management

- Improved quality of service ,works and goods delivered
- Improved customer focus.
- Timely delivery
- Achieving value for money
- Cost control and savings.
- Reduced crisis management
- Avoiding disputes
- Evaluation of the specifications against contract performance and identification of changes that would benefit future contracts

## **The contract management plan should define**

- What reports are required
- What content should include in each report
- The format of presentation of the report
- Who is responsible for producing the report
- The frequency of reporting
- To whom the reports should be distributed

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## **The right contract.**

- The contract is the foundation for the relationship.
- It should be clear on:
  - Identification and allocation of risk,
  - specifications
  - procedures for dispute resolution.
- Good corporate governance
- Effective monitoring
  - The performance under the contract must be monitored to ensure that the customer continues to get value for money.

### **Relationship management.**

Mutual trust and understanding, openness, and proper communications are as important to the fulfillment of the formal contract terms and conditions.

- People with the right skills
- Flexibility

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## **Procurement Procedure in Nepal**

- National Competitive Bidding (NCB)
- International Competitive Bidding (ICB)
- Sealed Quotation
- Direct Procurement
- Work through Users Committee
- Work done through Force Account

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**Contract is an agreement between two or more than two persons to do or not to do something. — Contract act 2056**

**Contract= Agreement + Legality**

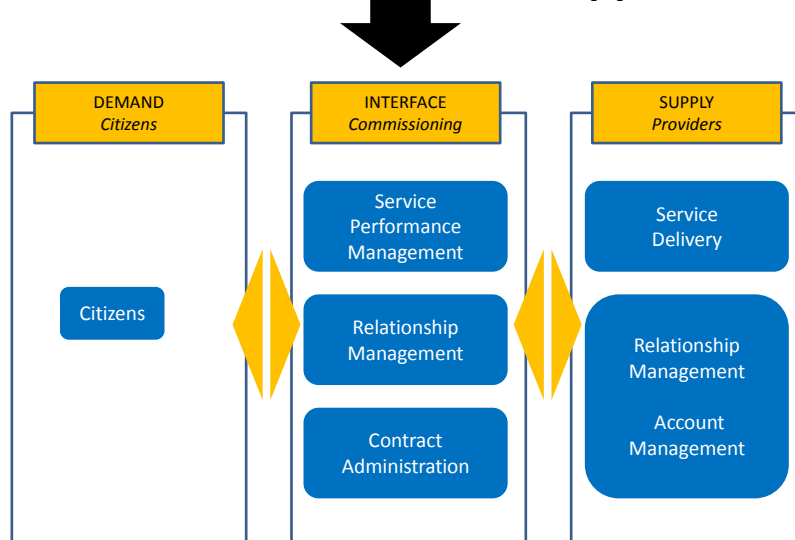
Elements of Contract

- Offer and Acceptance
- Consideration
- Capacity to contract
- Lawful purpose
- Possibility to performance
- Free consent
- Legal relationship
- Two or more Parties
- Written

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## Contract Management Approach



### Tender:

**Offer by the Bidder to execute some Specified work or supply goods at a certain rate within fixed time frame as per agreement.**

### Tendering ( Bidding) Process

1. Invitations for bidders,
  2. Bids distribution,
  3. Instruction to Bidders,
    - a. General,
    - b. Bidding document,
    - c. Submission of bids,
    - d. Bid opening and evaluation,
    - e. Award of contract,
    - f. Bidding data,
  4. Forms of bid, qualifications, information, letter of acceptance and agreement,
    - Standard forms:
      - Contractor's bid,
      - Qualification,
      - Letter of acceptance,
      - Agreement
  5. Conditions of contract
    - General,
    - Times control,
    - Quality control,
    - Cost control,
    - Finish the contract,
  6. Specifications,
  7. Drawings,
  8. Bill of qualities,
  9. Security forms
    - Bid security,
    - Performance bond,
- Performance Bank guarantee  
Bank Guarantee for Advance Payment

## Why Tendering

- To Select Best Contractor
- To get Quality work
- To get work at Competitive Price
- To maintain Transparency
- Public Private Partnership (Encourage Contracting Procedure)

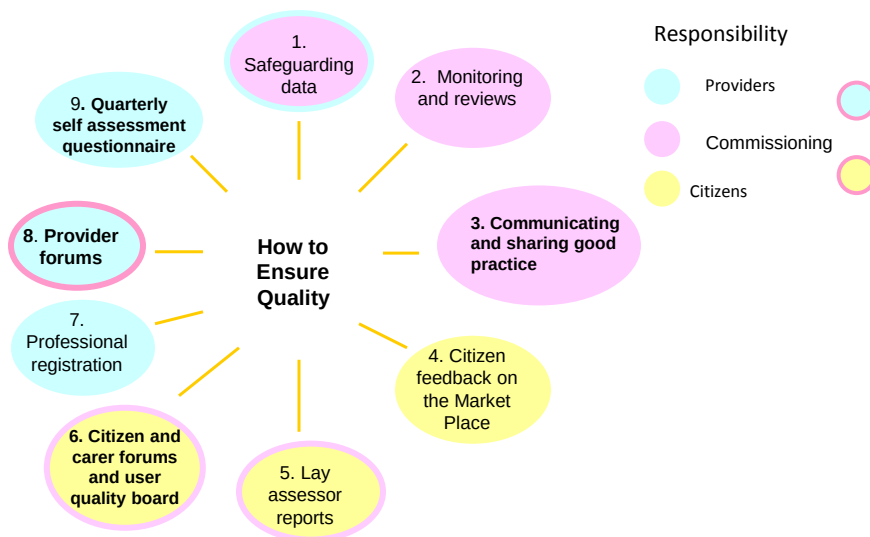
## Usage of Tender

Single Stage Single Envelope Bidding Procedure

Single Stage Two Envelope Bidding Procedure

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## How do we measure quality?



## **Preparation Before Tender**

- **Project Preparation- Feasibility Study**
- **Estimating of Quantity**
- **Cost Estimating**
- **Approval of Estimate**
- **Resource Planning**
- **Tender Document Preparation**

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## **Bidding Document**

- **Plan, Drawing of the Planed Work**
- **Bill of Quantities**
- **Quantities of Goods**
- **Work to be done**
- **Time of supplying and work completion**
- **Provision of Warranty, Repair and Maintenance**
- **Additional Training and Supervision required**
- **Financial requirement, advance, payment, etc.**
  - **Bid Security**
  - **Performance Security**

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## **E-Bidding**

**Online Bidding for online market place.**

**WHAT are the Signification and Importance of**

**E- Bidding ?**

**Assignment-1**

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## **Priority of Document**

- **Contract Agreement**
- **Letter of Acceptance**
- **Contractor's Bid**
- **General and Special Conditions of Contract**
- **Specification**
- **BOQ**
- **Addenda**

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## **Factor For Consideration of Contract Document**

- **Clear and Fair**
- **Consistent Language**
- **No repetition but retrievable**
- **Use Foresight- for possible confusion**

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## **Type of Contract**

- **Unit Rate Contract**
- **Lump Sum Contract**
- **Design Build Contract**
- **Turn Key Contract**
- **EPC Contract**
- **Cost- Reimbursement Contract**
- **Time and Material rate Contract**
- **Management contract**
- **Piece work Contract**
- **Build Own Operate Transfer Contract**

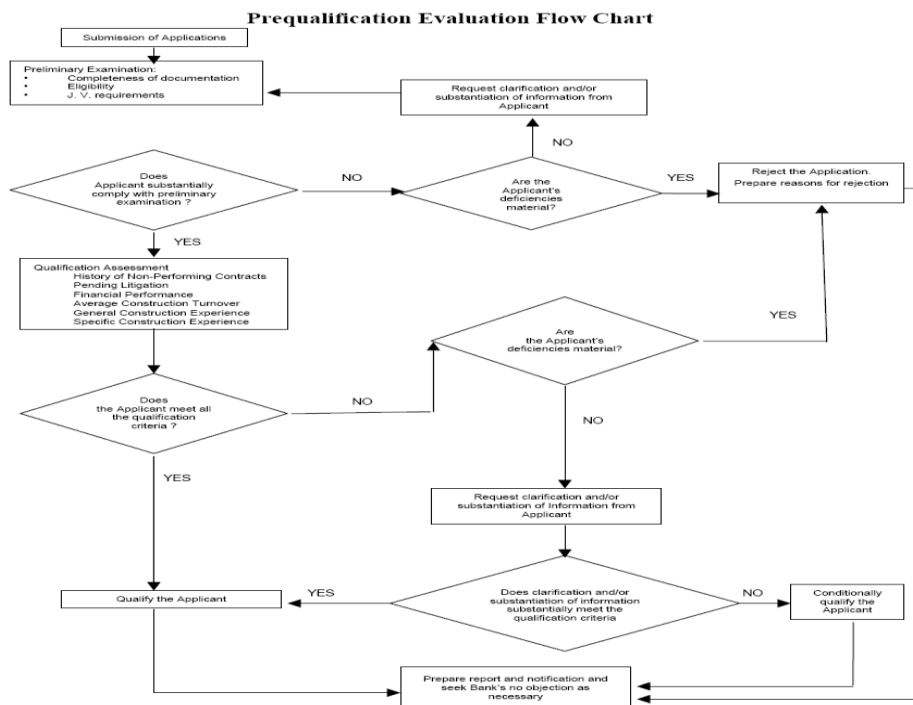
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## Pre-Qualification

Capability assessment of firms to carry out a particular contract  
**prior** to being invited to submit a bid is a process called  
**prequalification**

- **Experience and past performance**
- **Capabilities (Financial, Personal, Equipment and Technology)**
- **Financial Position**
- **Litigation history**

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## Pre-Qualification

### ADVANTAGES

- Enhances participation of serious contractors
- Reduces high cost of bidding
- Gives early warning of competition potential
- Reduces complaints of disqualified bidders
- Borrower able to assess interest of qualified firms
- Identifies potential conflict of interest (contractors with business association with consultants)
- Reduces time in evaluating bids from unqualified bidders
- Reduces potential for controversy
- Early Detection of Employer's capacity to manage procurement

### DISADVANTAGES

- Increases procurement lead time
- Review of all application is mandatory whereas post-qualification requires review of only winning bid
- Possibility of collusion

## Miscellaneous Terms

- *Expression of Interest*
  - *Request for Proposal*
    - *Joint Venture*
- *Liquidated Damage* – Around 0.05 % per day
  - *Price Adjustment*
- *Variation Order*
- *Advance Payment*
  - *Contingency*
- *Pre-Bid Meeting*
- *Bid Opening*
  - *Bid Evaluation*